

AUDIT INVESTIGATION REPORT

Investigation No. INV-00414 | Type: Expense Audit

Investigation ID:	INV-00414
Investigation Type:	Expense Audit
Status:	COMPLETED
Trigger Source:	Whistleblower hotline report
Lead Investigator:	Elaine Lopez (EMP-74422)
Subject Employee:	James Shaw (EMP-48737)
Related Vendor:	Apex Solutions Holdings (VND-03287)
Related Transaction:	TXN-C2144845715
Scope Period:	2022-09-25 to 2023-06-05
Created Date:	2024-03-26
Completed Date:	2024-07-20
Outcome:	SUBSTANTIATED

1. AUDIT QUESTION

"Identify findings with confidence scores below 0.5 that have been marked *VALIDATED*."

2. BACKGROUND

This investigation was initiated following a whistleblower hotline report relating to activity associated with employee James Shaw (EMP-48737) and vendor Apex Solutions Holdings (VND-03287). The investigation scope covers the period 2022-09-25 to 2023-06-05 and was conducted under the authority of the Internal Audit Charter and the Fraud Risk Management Policy.

3. METHODOLOGY

The investigation team reviewed transaction records, approval workflow logs, and supporting documentation associated with Transaction ID TXN-C2144845715 (amount 14,894.46 USD, risk score 0.45). Interviews were conducted with relevant personnel and system access logs were reviewed for the scope period.

4. FINDINGS

Finding ID	Severity	Category	Description
FND-001988	LOW	EXPIRED COMPLIANCE	Vendor VND-VND-04909 received payment of \$178,213 on 2023-04-29. Compliance certificate expired on 2022-09-08 — 186 days prior.
FND-002766	HIGH	VENDOR RISK	High-risk vendor VertiLink Distributors Inc has no compliance record on file. Payment of \$322,152 released without compliance clea...
FND-002123	LOW	POLICY BREACH	Employee submitted Entertainment claim 32% above the authorised policy limit without prior exception approval.

5. CONCLUSION

Based on the evidence reviewed, the allegations underlying this investigation are **SUBSTANTIATED**. The control breakdown identified poses a low risk to the organisation and requires remediation.

6. ACTIONS TAKEN

- Employee access to approval systems suspended pending review.
- Vendor placed under enhanced monitoring with quarterly compliance re-checks.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Investigator	Elaine Lopez	EMP-74422	2024-07-20